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From: Kay Quigley <kayquigs@yahoo.com>
Sent: Thu, 31 Jan 2002 08:31:11 -0800 (PST)
To: Quigley, Dutch <dutch.quigley@enron.com>
Subject: wsex website pres lives in Antigua- not bad

Improving odds in online gambling
By William Spain, CBS.MarketWatch.com
Last Update: 11:20 AM ET Jan. 31, 2002

Some sites safer than others for betting the Super Bowl

CHICAGO (CBS.MW) - Fear flying to Vegas? Can't find a friend to cover the spread? Just longing to get some action on the Big Game?

Don't sweat: There's still time to bypass the bookie for a browser.

While credit-card issuers are making it harder for Americans to lay money down online for Super Bowl XXXVI (See full story), there are plenty of Web-based sportsbooks ready, willing and able to take their wagers.

The trick is figuring out which sites to trust - and to make sure a winning hunch gets paid off in full and on time.

The sheer number of operators, along with their quasi-legal status and offshore locations, complicates that task. But following a few simple rules can drastically decrease the odds of being victimized by a welshing Webmaster.

"I would never, ever, play at a casino or sportsbook that doesn't have their phone number available."

Eric Morris,publisher, Online Gambling Magazine

By most accounts, the majority of Internet gambling

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sites are run honestly. Like the brick-and-mortar casinos they often compete with, the sites don't have to cheat to make money. And while there have been instances of bettors getting stiffed, it's far more likely to occur due to incompetence rather than deliberate rip-off.

The very first thing to look at before placing any bet online, industry experts seem to agree, is whether the site has actual human beings readily on hand to answer questions, try to resolve disputes, etc.

"I would never, ever, play at a casino or sportsbook that doesn't have their phone number available," said Eric Morris, publisher of Online Gambling Magazine.

Spot checks

Next, do the research. Check the message boards at review sites like winneronline and casinomeister to see what is being said about who and why. Crooks and cretins alike can get called to account pretty fast in cyberspace; if people are complaining about a specific site, stay away.

Morris also recommends that players "stay with sites that are advertising in multiple publications and newspapers" instead of just using cheap or no-cost online banners. With that kind of marketing investment, "chances are they are legitimate and will pay you out."

Sue Schneider, chief executive of River City Group, an interactive gambling research, publishing and brokerage firm, echoed Morris' sentiments about what consumers should check before placing an online bet for the first time. To the list, she adds "they should see if a site is licensed by a specific government and if it has a 'Seal of Approval' from the Interactive Gaming Council."

Although betting sites operate in some European countries and Australia, they will not usually take wagers from people in the U.S. Among the multinationals currently getting a taste of that

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action are Playboy Enterprises(PLA: news, chart, profile), Sun International (SIH: news, chart, profile) and Rupert Murdoch's News Corp. (NWS: news, chart, profile)

Top jurisdictions

While it's not actually illegal as yet for Americans to make bets online, the issue is such a political hot potato here that regulators in other industrialized nations have taken a pass on the market for now.

Meanwhile, formal regulations for South-of-the-Border operators vary from the relatively stringent and recently upgraded, in Antigua, to the virtually non-existent, in Costa Rica.

Frank Catania, head of an interactive gambling consultancy that bears his name, is a former director of gaming enforcement for New Jersey - the nation's No. 2 casino market after Nevada. He describes himself as a proponent of "player protection" via strict regulations.

Players "need to look for a site that comes from a jurisdiction with significant gaming regulation" he said, and named Antigua as the best of the Caribbean -- in no small part because he helped draw their rulebook. He says other good sites are run out of Australia, the Isle of Man and from a Mohawk Indian reservation in Canada.

In these locales, at least, "a consumer can feel relatively safe that they are going to get paid," he said.

Steve Schillinger is director of wagering at World Sports Exchange. Based in Antigua, it's one of the most-established online bookmakers, up and running since 1996. Schillinger claims a customer base of 30,000 and says "on a typical Sunday in football season, we process over 200 bets a minute."

Ways around

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Schillinger says his company hasn't experienced any problems with credit cards yet, but that it's still easy to bet should your issuer balk. There are other ways to set up an account, including wire transfers.

Winnings typically are sent via overnight mail, he says, and can be considerable: World Sports Exchange's limit is $20,000 per bet and people will sometimes make as many as five bets on a single game.

"Business for us is very good," he said. "We increase about 50 percent in volume every year."

Those kind of numbers are one of the main factors that have some U.S. casino companies panting for a piece of the action. The management of MGM Mirage (MGG: news, chart, profile)is among the industry's more outspoken boosters of the potential of online gambling.

Their counterparts at archrival Park Place (PPE: news, chart, profile) are more low-key about it, but they've also indicated they don't intend to be left behind. Their theory is, when Vegas operators enter the business, they'll grab market share and greatly expanding the pie by providing bettors with U.S.-based brand name service.

They also could leverage their existing databases to drive business and use a "comp" system to reward players with free rooms, trips to Las Vegas and other cherished amenities.

That may pose something of challenge to sites like Schillinger's - if it ever happens. In the meantime, he asks with obvious self-interest, "Where is your

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